

Buying Your First Property

The paperwork playbook — TDS, loan sanction, registration, all in the right order.

Before we start

A property purchase touches more paperwork than any other financial decision most people make. This ebook covers the order of operations — budget, documents, loan, TDS, and registration — so nothing gets missed in the excitement or the stress.

1. Before you start house hunting

- **EMI affordability rule of thumb:** keep your total EMI (this loan plus any existing ones) under roughly 40% of your monthly take-home — lenders often allow more, but that doesn't mean it's comfortable.
- **Down payment target:** most lenders finance up to 75-90% of property value, so budget for at least 10-25% upfront, plus registration and other charges on top.
- **Get a pre-approved loan sanction** before house hunting seriously — it tells you your real budget and speeds up the process once you find a property.
- **Budget beyond the property price:** stamp duty, registration fee, brokerage, interior costs, and moving expenses typically add 8-12% on top of the property price.

2. Documents to verify before you commit

Document	Why it matters
Title deed / chain of ownership	Confirms the seller actually owns the property and can legally sell it.
Encumbrance certificate	Confirms the property is free of unpaid loans or legal disputes.
Occupancy certificate	Confirms the building is legally cleared for habitation by local authorities.
RERA registration	For under-construction or new projects — confirms the project is registered and compliant.
Property tax receipts	Confirms taxes are paid up to date, avoiding inherited dues.
Approved building plan	Confirms the actual construction matches what was legally approved.

Do this: have a lawyer do a title search before signing anything binding — this is a small cost relative to the size of the transaction.

3. TDS on the purchase (Section 194-IA)

- **Applies if the sale price or stamp duty value is Rs. 50,00,000 or more** — TDS is 1% of the higher of the two figures.
- **You (the buyer) deduct it**, not the seller — this comes out of what you'd otherwise pay the seller directly.
- **If paying in installments to a builder**, TDS applies to each installment, not just once at final registration.
- **You need the seller's PAN** before paying — without it, the rate jumps to 20%.
- **File within 30 days** of the month-end in which you deducted it, using Form 26QB, and give the seller Form 16B as proof.

Use Paisa Stack's free TDS calculator to get the exact number for your transaction before you finalise payment terms.

4. The home loan process, in order

Stage	What happens
Pre-approval	Lender assesses your eligibility based on income and credit score, before you've finalised a property.
Property evaluation	Once you've chosen a property, the lender conducts a technical and legal check on it specifically.
Sanction letter	Confirms the approved loan amount, interest rate, and tenure — read the fine print on processing fees and prepayment charges.
Disbursement	Funds are released, often in stages for under-construction property, or fully at once for ready-to-move property.

- **Compare processing fees** across lenders — often 0.5-1% of the loan amount, sometimes negotiable.
- **Check prepayment/foreclosure charges** — many floating-rate loans have none, but confirm rather than assume.
- **Home loan interest is deductible under Section 24** (up to Rs. 2,00,000) under the old tax regime — factor this into your regime comparison for the years you're repaying.

5. Registration

- **Stamp duty** varies by state, typically 5-7% of property value — a major cost most first-time buyers underestimate.
- **Registration fee** is typically around 1% of property value, separate from stamp duty.
- **Both parties (or authorised representatives) must be present** at the sub-registrar's office, along with witnesses and required documents.
- **Keep certified copies** of the registered sale deed — you'll need this repeatedly for loans, resale, and inheritance purposes for years to come.

6. Mistakes that cost buyers the most

- **Skipping the title search** to save a small legal fee, risking a much larger dispute later.
- **Not budgeting for stamp duty and registration** separately from the down payment, leading to a cash crunch right at closing.
- **Forgetting TDS entirely** until the last payment, causing last-minute scrambling for the seller's PAN and compliance paperwork.
- **Not comparing loan offers** beyond just the interest rate — processing fees and prepayment terms meaningfully affect the total cost.

7. Quick answers to common questions

Do I need a lawyer for a property purchase?

Strongly recommended, at minimum for a title search and reviewing the sale agreement — the cost is small relative to the risk of an unresolved title issue.

Can I negotiate the property price after loan approval?

Yes, loan pre-approval and price negotiation are independent — you can negotiate price at any point before signing the final agreement.

What happens if I miss the 30-day TDS deadline?

Late deposit typically attracts interest and potential penalties — file as close to the payment date as possible rather than waiting until the deadline.

8. Your property purchase checklist

- ✓ Calculate your realistic EMI budget and get a pre-approved loan sanction.
- ✓ Verify title deed, encumbrance certificate, and RERA registration (if applicable).
- ✓ Have a lawyer conduct a title search before signing anything binding.
- ✓ Calculate TDS liability using the sale price or stamp duty value, whichever is higher.
- ✓ Collect the seller's PAN before making any payment.
- ✓ Budget separately for stamp duty and registration, on top of the down payment.
- ✓ File Form 26QB within 30 days of each TDS deduction, and collect Form 16B.

This ebook is a planning aid, not legal or tax advice. Stamp duty rates, TDS thresholds, and loan terms vary by state and lender — confirm current figures before making a purchase decision.